

in your hands builds on the sixth and reflects on new events in the markets and the current economic backdrop and business landscape, as well as developments in the field of investment management and security analysis. As with the sixth edition, we have assembled leading practitioners and market observers to update and provide commentary on the content of the book's acclaimed second edition. In our attempt to distill what has changed over the years, we have striven to separate reality and enduring wisdom from what is ephemeral, protean, and illusory. Although markets have evolved enormously in the past nine decades and the book's historic examples show their age, you will see in the pages that follow that many of the value investing principles at the heart of *Security Analysis* are just as applicable today as ever.

The heft and detail of *Security Analysis* immediately suggest that it is not an easy read. Today's aspiring investors and early-career practitioners may wonder whether it's worth the effort. The other contributors and I strongly believe that it would indeed be time well-spent.

ENDURING PRINCIPLES

Change is the one constant in the investment world, and for any investment book to pass the test of time, it must hold universal. A successful investment philosophy, such as value investing, must address the challenges in navigating change, remaining flexible in approach and tactics while grounded in basic, unwavering principles. The alternative—a strategy that blows with the wind—almost ensures being perpetually whipsawed by volatile markets and burdened by frenetic trading.

Many of the details in the original *Security Analysis* belong to another era. The earliest editions implicitly describe a smokestack economy in which steam-driven locomotives race across the landscape to deliver a cornucopia of manufactured goods. Today, the U.S. and global economies are increasingly characterized by tens of millions of